EXPERIMENT NO. 4

FINANCIAL PLANNING AND BREAK-EVEN ANALYSIS

Aim

To prepare a basic financial plan for the Women Entrepreneurs Network (WEN) student-developed digital platform using sales forecast, operating budget, cash flow statement, pro forma income statement and break-even analysis.

Business Overview

Women Entrepreneurs Network is a proposed digital platform that connects women entrepreneurs with mentors, experts, investors, business resources and other entrepreneurs. The platform is planned as a student-made prototype.

Business Assumptions

Particular	Assumed Value
Type of business	Student-developed digital platform
Initial investment	₹ 30,000
Annual membership fee	₹ 2,388
Monthly membership equivalent	₹ 199
Variable cost per member/year	₹ 120
Expected first-year members	100

1. Sales Forecast

The sales forecast estimates the expected membership revenue for the first year. The source financial plan assumes 100 paid members and an annual membership fee of ₹ 2,388.

Particular	Value
Expected members	100
Annual membership fee/member	₹2,388
Expected annual sales revenue	₹ 2,38,800

Calculation: Sales Revenue = Number of Members × Annual Membership Fee = 100 × ₹ 2,388 =
₹ 2,38,800.

2. Operating Budget

The operating budget includes the initial/fixed expenses and the variable cost expected for 100 members.

Expense	Amount
Domain registration	₹ 1,500
Hosting/server expenses	₹ 5,000
Database and cloud storage	₹ 3,000
UI/UX and design tools	₹ 3,000
Testing and internet expenses	₹ 5,000
Documentation and presentation	₹ 3,000
Promotion and awareness	₹ 5,000
Miscellaneous expenses	₹ 4,500
Total fixed/initial cost	**₹ 30,000**
Variable cost for 100 members	**₹12,000**
Total operating cost	**₹ 42,000**

3. Cash Flow Statement

For the first-year planning estimate, cash inflow is taken from membership revenue and cash outflow is taken from the estimated total cost.

Cash Flow Particular	Amount
Cash inflow – membership revenue	₹ 2,38,800
Cash outflow – fixed/initial cost	₹ 30,000
Cash outflow – variable cost	₹ 12,000
Total cash outflow	₹ 42,000
Net cash surplus	**₹ 1,96,800**

Net Cash Flow = Cash Inflow - Cash Outflow = ₹ 2,38,800 - ₹ 42,000 = ₹1,96,800.

4. Pro Forma Income Statement

The pro forma income statement gives a projected first-year financial result using the assumptions in the financial plan.

Particular	Projected Amount
Revenue	₹ 2,38,800
Variable expenses	₹ 12,000
Fixed/initial expenses	₹ 30,000
Total expenses	₹ 42,000
Projected profit	**₹ 1,96,800**

Projected Profit = Revenue - Total Expenses = ₹2,38,800 - ₹42,000 = ₹1,96,800.

5. Break-Even Analysis

Break-even analysis determines the number of paid members required to recover the fixed/ initial investment.

Particular	Value
Annual membership fee	₹2,388
Variable cost/member	₹120
Contribution/member	₹ 2,268
Fixed cost	₹ 30,000
Break-even point	**13.23 /14 members**

Contribution/member = ₹2,388 - ₹120 =
₹2,268. Break-even Point = ₹30,000 ÷ ₹2,268 = 13.23.
Since a member cannot be a fraction, the break-even point is approximately **14 paid**

members. **Profit Projection**

Members	Revenue	Variable Cost	Total Cost	Profit
10	₹23,880	₹1,200	₹31,200	₹7,320
25	₹59,700	₹3,000	₹33,000	₹26,700
50	₹1,19,400	₹6,000	₹36,000	₹83,400
100	₹ 2,38,800	₹12,000	₹42,000	₹1,96,800

6 .Monthly Subscriber Assumption for Profit

Based on the annual financial projections, we expects to have 100 paid members in the first year, generating annual membership revenue of ₹2,38,800. The annual variable cost is estimated at ₹12,000, while the fixed/initial cost is ₹30,000, resulting in a projected annual profit of ₹1,96,800.
To achieve the target of 100 paid members within one year:
Monthly Membership Target = 100 ÷ 12 = 8.33
Since a fraction of a member is not possible, the practical target is approximately **9 new paid members per month**.

Particular	**Value**
Annual membership target	100 members
Annual membership revenue	₹2,38,800
Annual variable cost	₹12,000
Annual fixed/initial cost	₹30,000
Projected annual profit	₹1,96,800
Average members required per month	8.33
Practical monthly target	**9 members**

Therefore, the Women Entrepreneurs Network should aim to acquire approximately **9 new paid members every month** to reach its projected annual target of 100 members and achieve the estimated annual financial results.

Key takeaways

•Low Initial Investment: WEN can be started as a student-developed prototype with an initial investment of ₹30,000.

•Affordable Membership: The annual membership fee is ₹2,388, equivalent to ₹199 per month.

•Break-Even: The project reaches break-even at approximately 14 paid members.

•100-Member Target: With 100 paid members, projected revenue is ₹2,38,800.

•Projected Profit: Estimated total cost is ₹42,000, resulting in a projected profit of ₹1,96,800.

•Monthly Target: To reach 100 members in one year, WEN should aim for approximately 9 new paid members per month.

•Planning Basis: These figures are estimates based on the stated assumptions and may change with actual operating expenses.